

FEDERAL MARITIME COMMISSION

PETITION OF SM LINE
CORPORATION FOR AN
EXEMPTION FROM
46 C.F.R. § 530.10

Docket No. P4-17

Served: January 12, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE and Daniel B. MAFFEI, *Commissioners*.

Order Granting Petition

I. BACKGROUND

On December 6, 2017, SM Line Corporation (SM Line) filed with the Federal Maritime Commission (Commission) the above-captioned petition for exemption from the provisions of 46 C.F.R. § 530.10 requiring individual service contract amendments to be filed with the Commission.

SM Line is a Korean corporation and vessel-operating common carrier. On or about January 12, 2018, SM Line will be merged with its affiliated Korean corporation, Woobang E&C (Woobang). Upon completion, this new merged company will utilize the same vessels and other equipment and be operated by the

same personnel. The newly merged company will have the legal name SM Line Corporation. Pet. at 1.

SM Line indicates that while some of its service contracts may permit assignment upon notice to the other contracting party, many service contracts are silent about assignment. SM Line asserts that it would be unduly burdensome to identify and file these individual amendments. The Petition notes that there are approximately 769 such service contracts. Pet. at 1-2.

Accordingly, the Petitioner requests an exemption from the provisions in 46 C.F.R. § 530.10 requiring that amendments to each individual service contract be filed with the Commission. Instead of filing individual amendments, the Petitioner requests that it be permitted to: (1) send a notification to the shipper party under each of the service contracts advising that the service contract will be assigned and advising that if their agreement does not contain an assignment clause that they must advise by December 22, 2017, if they will require a formal amendment to the service contract; and (2) file a universal notice in SERVCON under the Petitioner's organization number and the organization number of the new entity identifying all affected service contracts and submit a spreadsheet listing all affected service contracts and reporting their disposition. Pet. at 3-4.

The Petitioner argues that the requested exemption will not result in a substantial reduction in competition or be detrimental to commerce and will allow for the orderly servicing of these service contracts. Pet. at 3.

On December 12, 2017, the Commission published a notice in the Federal Register requesting comment on the Petition. 82 Fed. Reg. 60014. The Commission received no comments.

II. DISCUSSION

The Commission's regulations governing service contracts

provide that “[s]ervice contracts may be amended by mutual agreement of the parties to the contract.” 46 C.F.R. § 530.10(b). Amendments must be filed electronically with the Commission in the manner set forth in 46 C.F.R. § 530.8 and appendix A to 46 C.F.R. § 530. The Petitioner claims that identifying and filing individual amendments for approximately 769 service contracts would be burdensome. Pet. at 1-2.

Exemptions from the requirements of Part 530 are governed by 46 U.S.C. § 40103 and the Commission’s Rules of Practice and Procedure. 46 C.F.R. § 530.13(b). Under 46 U.S.C. § 40103(a), the Commission may grant exemptions from the Act, “if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce.” 46 U.S.C. § 40103(a).

The Commission has previously granted exemptions from the requirements in 46 C.F.R. § 530.10 in similar situations. See *Petition of COSCO Container Lines Company Ltd.*, 34 S.R.R. 97 (FMC 2016); *Petition of Crowley Caribbean Servs., LLC*, 33 S.R.R. 1461 (FMC 2016); *Petition of Compañía Sud Americana de Vapores S.A.*, 33 S.R.R. 934 (FMC 2015); *Petition of Hanjin Shipping Co., Ltd.*, 31 S.R.R. 1080 (FMC 2009). The Commission similarly concludes that an exemption from § 530.10(b) in this case will reduce the filing burdens on both the Petitioner and the shipper parties and will not result in a substantial reduction in competition or be detrimental to commerce.

The Commission is placing additional conditions on the exemption as follows. First, the Petitioner must allow shippers the option of having formal amendments to their service contracts be prepared and must notify shippers of this option. The Commission notes that the text of Petitioner’s proposed notice regarding the assignment requests that shipper parties notify Petitioner via e-mail by December 22, 2017, if a formal consent is required, and if the shipper party does not reply by that time or continues to tender cargo, Petitioner will assume that the shipper party agreed to the

assignment and does not require a formal consent. Unlike notices by carriers seeking an exemption in similar circumstances, however, Petitioner's notice only allows shippers to request a formal consent and does not expressly provide for a shipper to request that an individual amendment be prepared. *See Petition of COSCO Container Lines Company Ltd.*, 34 S.R.R. 97 (FMC 2016). Some shippers may want their service contracts to reflect the actual terms of the agreement, including the assignment. The Commission believes that such a request would be reasonable and should be permitted. *See Petition of APL Co. Pte Ltd*, 34 S.R.R. 211, 214 (FMC 2016) (requiring petitioner to allow shippers to request individual amendments to their service contracts as a condition of an exemption from § 530.10(b)).

Second, the Commission notes that the text of SM Line's proposed notice regarding the assignment requests that shipper parties notify SM Line by December 22, 2017. It is unclear when SM Line anticipated distributing this notice, but these dates must be updated to allow shipper parties a reasonable amount of time to consider their options in light of the assignment. Specifically, the Commission believes that SM Line should provide at least seven days from the date of its notice for shipper parties to request a formal consent or individual amendment.

The Commission finds that the potential for negative competitive or commercial effects resulting from the exemption is limited given that the new entity will be carrying out the services of SM Line and will be utilizing most of the same vessels, facilities and personnel as SM Line. Moreover, the Commission believes the Petitioner's proposed measures, subject to the modifications noted above, offer adequate protection against any potential harm to competition or commerce.

III. CONCLUSION

For the reasons discussed above, the Commission is granting the petition, subject to certain conditions:

THEREFORE, IT IS ORDERED, that the Petition is GRANTED, provided that:

1. Upon granting of the Petition, SM Line notifies in the form and manner set forth above, all affected shippers of the change in carrier parties to the service contracts, and provides at least seven (7) calendar days for shipper parties to request a formal consent or individual amendment to a service contract;
2. SM Line files, not later than January 17, 2018 a Universal Notice with the Commission through SERVCON, enumerating all affected service contracts;
3. If any affected shipper opts to file an individual amendment such amendment shall be promptly filed pursuant to 46 C.F.R. § 530.10(b).

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Assistant Secretary